4. District Budget

Questions, notes and a plain-language explainer from the August budget meeting.

Question Packet for Matt Clark

DISTRICT BUDGET & LONG-TERM FINANCIAL PLANNING — Meeting Briefing & Question Packet Prepared for Matt Clark, Director of Business & Finance, Sun Prairie Area School District. Prepared by Zackary Mark, Sun Prairie West High School. Meeting focus: Budgeting process, long-range planning, financial pressures, priorities, and student impact. Target length: 45–60 minutes.

Purpose

This packet is designed to help structure a student-led conversation about how SPASD makes financial decisions, how it plans beyond one school year, what constraints it faces, and how financial choices translate into student and staff outcomes.

The goal is understanding first, evaluation second. The strongest questions are designed to uncover the assumptions, tradeoffs, timelines, and measurable outcomes behind the numbers.

Important note: Some figures below are historical or were published for the 2024 referendum. They are included as context, not as claims about the current 2026–27 budget. Where a current figure is needed, the question packet asks Mr. Clark to provide the latest number.

1. Executive Briefing

Why this meeting matters

SPASD identifies Business Services as responsible for fiscal management, long-range financial planning, new facility planning, transportation, purchasing, payroll, accounts payable, and open enrollment. The district also publicly provides annual meeting reports, budget information, enrollment projections, financial audits, bond information, debt structure, and long-term debt-service information.

The district's current Business Services page lists a 2026–27 Strategic Based Budget & Staffing Planning Calendar and a 2025–26 Adopted Budget, alongside a 2026 UW Applied Population Lab enrollment projection report. That makes this meeting an opportunity to connect documents that are publicly available with the decision-making process behind them.

Core objective

- Understand the district's budget cycle from assumptions to Board approval.
- Understand how SPASD models multiple years rather than balancing only one annual budget.
- Identify the largest recurring financial pressures and which are within district control.

- Understand how enrollment, staffing, state funding, property values, debt, and referenda interact.
- Understand what financial indicators the district watches to avoid future structural deficits.
- Connect financial decisions to measurable outcomes for students, staff, programs, and facilities.

Student-voice connection

Existing SPASD advocacy work has emphasized student voice, transparency, consistency, and follow-through. The financial version of that principle is simple: students should be able to understand, at an age-appropriate level, why major financial decisions are made and what outcomes those decisions are intended to produce.

Prior work around Act 95, weighted grading, Student Senate, and districtwide student engagement gives a useful lens for asking not only "What does this cost?" but also "What problem does this spending solve, and how will we know it worked?"

2. Research & Data Snapshot

A. What SPASD currently makes public

- Business Services says it is responsible for fiscal management and long-range financial planning.
- The district lists a 2026–27 Strategic Based Budget & Staffing Planning Calendar.
- The district lists a 2025–26 Adopted Budget, prior adopted budgets, financial audits, a bond-rating report, current debt structure, and long-term debt-service information.
- The district lists a 2026 UW-APL enrollment projection report and a 2023 Roffers community growth/projections report.
- SPASD provides a Revenue Caps 101 video and links to the Wisconsin budget process.

B. 2024 operating referendum context

The 2024 SPASD referendum asked voters to authorize up to $25 million in additional annual operating authority. The district described the funding as a way to stabilize the budget, support competitive compensation, and support programming for a growing and increasingly complex student population. Voters approved the measure 57% to 43%.

The district's referendum materials allocated the authority conceptually across three major areas: $4 million for educational programming, $7 million for competitive staff compensation and benefits, and $14 million to stabilize operating expenses.

The district stated that without the referendum it projected a $6 million deficit for 2025–26 and a deficit growing to $14 million in subsequent years. These were pre-referendum projections and should be treated as historical context. The key current question is how the actual financial position compares with those projections.

C. Tax and funding context

In its 2024 tax-impact explanation, SPASD said 187 new students joined the district that year and that enrollment growth affected staffing, transportation, and other costs. The district also cited changes in state aid, special education and language-service needs, private-school

voucher/charter costs, and debt payments as factors affecting the tax levy.

The district reported that the 2023–24 mill rate was $9.86 and said it had declined from $13.06 in 2019–20. The district also reported that from 2010–2024 it received $3,300 less per student than it would have received if state funding had kept pace with inflation, according to its referendum materials.

D. Wisconsin finance constraint

Wisconsin's revenue-limit system constrains how school districts can raise certain operating revenues through property taxes. DPI's revenue-limit system uses pupil membership and other inputs to calculate district revenue limits. This is why a district's budget conversation cannot be reduced to "just spend less" or "just raise taxes." The relevant question is which revenue sources and spending categories are flexible, restricted, recurring, or one-time.

3. Priority Questions for Matt Clark

Use these as a conversation map rather than a checklist. The best follow-up question is usually: "What does that look like in the numbers?"

A. Budget construction

1. Can you walk me through the SPASD budget process from the first assumptions to the final Board-approved budget?
2. What are the major decisions that have to be made before the public sees a proposed budget?
3. Which parts of the budget are relatively fixed, and which parts can the district realistically change within one year?
4. What assumptions are most important in building the 2026–27 budget?
5. How does the district test whether those assumptions are realistic?

B. Long-term financial planning

6. How many years into the future does SPASD formally model its finances?
7. What does the district's long-term financial model currently show for the next 3, 5, and 10 years?
8. What are the biggest financial risks in that model?
9. What assumptions would have to change for the district to move from a stable outlook to a structural deficit?
10. What financial indicators would give you an early warning that the district is heading toward a problem?

C. Revenue and state funding

11. How dependent is SPASD on state aid versus local property taxes and other revenue sources?
12. How does Wisconsin's revenue-limit system affect the district's ability to respond to rising costs?
13. What state-level changes would have the biggest positive or negative effect on SPASD's long-term finances?

14. How does enrollment growth translate into additional revenue, and how quickly does the cost of serving those students appear?

4. Deep-Dive Questions

D. Staffing and compensation

15. What percentage of the operating budget is tied to employee compensation and benefits?
16. How does SPASD determine whether compensation is competitive with neighboring Dane County districts?
17. How are staffing decisions made when enrollment changes?
18. How does the district balance competitive pay with maintaining class sizes and student programs?
19. How are hard-to-fill positions or specialized services accounted for in long-term planning?

E. Enrollment, facilities, and growth

20. How are the 2026 UW-APL enrollment projections being incorporated into financial planning?
21. What enrollment trend would require the district to change staffing, boundaries, facilities, or programming?
22. How does the district financially plan for major facility maintenance before a building reaches a crisis point?
23. How do operating costs of buildings factor into long-term facilities decisions?
24. How are debt payments and future capital needs modeled alongside the operating budget?

F. Referendum and accountability

25. The 2024 referendum was presented as a long-term response to structural financial pressure. What has changed since voters approved it?
26. How closely are actual revenues and expenses tracking the assumptions used when the referendum was presented?
27. What outcomes are being used to determine whether referendum-supported spending is producing the intended student and staff benefits?
28. What would make the district consider seeking additional operating authority before the referendum's stated five-year roll-in period ends?
29. How does the district ensure recurring referendum revenue is not used to create an unsustainable future spending commitment?

G. Student impact

30. When the district has to choose between competing priorities, how is student impact weighed?
31. Are there districtwide metrics that connect spending to student outcomes, staffing stability, program access, or school climate?
32. How can students better understand the district's financial decisions without reducing complex issues to slogans?

33. Is there a meaningful role for students or a student advisory group in conversations about budget priorities?

5. Numbers & Documents to Request

- Current financial position: Current-year revenue, expenditures, projected year-end position, fund balances, and major variances.
- 2026–27 budget: Adopted or proposed total budget, major fund categories, major revenue sources, and major expenditure categories.
- Multi-year forecast: 3-, 5-, and ideally 10-year forecast with major assumptions.
- Staffing: FTE trends, compensation/benefit share of expenditures, and major staffing assumptions.
- Enrollment: Current enrollment, 3–5 year trend, and 2026 UW-APL projection assumptions used in budgeting.
- Debt: Outstanding principal, annual debt service, maturity schedule, and major future capital obligations.
- Fund balance: Current reserves by fund, district policy targets, and how reserves are used in long-term planning.
- Referendum tracking: Actual referendum revenue received and how it has been allocated compared with the original plan.
- Capital planning: Major facility projects expected in the next 5–10 years and how they are financed.
- Risk analysis: Top 5 financial risks and the indicators the district monitors for each.

A particularly useful question: "If you could give a student one chart that explains the district's financial position better than anything else, what would you put on it?" That question forces the conversation toward the indicators the finance office actually uses, rather than a pile of disconnected budget numbers.

6. Suggested 45–60 Minute Meeting Flow

- 0–5 min — Introduction: Thank Matt for meeting; explain that the goal is to understand the system, not audit him.
- 5–15 min — How the budget works: Ask for the annual budget cycle and the biggest decision points.
- 15–30 min — Long-term outlook: Focus on multi-year forecasting, enrollment, staffing, state funding, and structural risks.
- 30–42 min — Referendum & priorities: Compare the 2024 assumptions with current reality; ask about outcomes and sustainability.
- 42–52 min — Student impact: Ask how spending decisions connect to student outcomes and student voice.
- 52–60 min — Documents & next steps: Request key documents, clarify follow-up, and identify one useful next conversation.

Live notes: Key numbers / Biggest financial pressure / Biggest long-term risk / Most important assumption / Student impact connection / Documents promised / Follow-up date / person / One idea worth pursuing.

Closing test: Before leaving, you should be able to explain in plain language: where the district gets its money, where most of it goes, what limits the district's choices, what the next five years look like, and what would cause that outlook to change.

7. Sources & Research Notes

- SPASD Business Services: district responsibilities, budget information, 2026–27 Strategic Based Budget & Staffing Planning Calendar, 2025–26 Adopted Budget, financial transparency resources, enrollment projections, debt information. https://www.sunprairieschools.org/departments/business-finance
- SPASD 2024 Referendum materials: historical context on the $25 million recurring operating referendum. https://www.sunprairieschools.org/community/past-referenda/ref2024
- SPASD Engagement Main and SPASD Engagement Notes (project materials).
- Wisconsin DPI School Finance: 2025–26 Revenue Limit information. https://sfs.dpi.wi.gov/safr_ro/all_revlimit_fte.asp?year=2026

Prepared for a student-led informational meeting. This packet is not an official SPASD financial document and does not substitute for the district's adopted budget, audit, or official financial statements.

Meeting Notes (August 18)

District Budget & Long-Term Financial Planning — Meeting Preparation Notes (with notes from the meeting) Meeting with: Matt Clark, Director of Business & Finance, Sun Prairie Area School District. Prepared by: Zackary Mark. Purpose: Understand district budgeting, long-term financial planning, and how financial decisions affect students and staff.

1. Opening

Thank Mr. Clark for meeting. Explain that I'm trying to better understand how district-level decisions are made, particularly financial decisions, from a student/community perspective, and that I keep records of meetings and correspondence so I can accurately document what I learn. Notes: Budget finalized every October. Monday there is a proposed budget meeting.

2. Understanding the District Budget

1. How does SPASD develop its annual budget from beginning to end?

Notes: 80% of expenses are staff; also busing, supplies, utilities. Revenue = expenses. Student numbers determine revenue (UW Applied Population Lab). 2-year budget cycle set by the Wisconsin government — how much money we get determines how much we can spend.

2. Who is involved in developing the budget, and what responsibilities does each person or department have?
3. At what point does the School Board become involved?

Notes: Meeting Monday with the school board. Formulas determine it. Budget talk starts in February, runs to October adoption — 8–9 months building the budget.

4. What are the biggest sources of revenue for the district?
5. How much flexibility does the district have over how those revenues are spent?
6. What expenses make up the largest portions of the district budget?
7. How does the district determine which programs or services receive funding?
8. When the district has competing priorities, how are those priorities ranked?

3. Long-Term Financial Planning

9. How far into the future does SPASD typically plan financially?

Notes: 5-year budget forecast in February of every year — where will SPASD be in 5 years. Year-to-year process.

10. What does the district's long-term financial planning process look like?
11. What financial assumptions are most important?

Notes: Enrollment drives revenue/everything. Staffing is the majority. Resident membership and revenue limit → tax levy → enrollment. State aid is a big assumption.

12. How does the district account for changes in enrollment when planning several years ahead?
13. What are the district's biggest long-term financial risks right now?

Notes: Challenge is the state aid amount. Not much risk otherwise. Percent of funding is under inflation — funding is not what it should be; a Wisconsin problem. Trend: less enrollment coming in; housing costs high; small classes currently. Referendum: $25 million passed in 2024.

14. Are there expenses or pressures that will become more significant over the next 5–10 years?
15. How does the district prepare for unexpected financial changes?

4. Staffing & Compensation

16. How significant are staffing costs within the overall budget?
17. How does the district balance competitive compensation with financial stability?

Notes: $7 million of the referendum went to compensation; wage study; an operational deficit is eventually likely.

18. How do staffing shortages or changing needs affect long-term planning?

Notes: Big short-term impact; long-term worry about maintaining current staffing. Special needs: different funding "bucket" — state funds special ed at about 30% of actual expense; general funding goes toward anything and helps fund the total; net zero at the end of the year. Staff based on needs and IEPs, no matter the cost.

19. When adding or eliminating positions, what financial and educational factors are considered?
20. How does the district evaluate whether staffing investments produce meaningful benefits for students?

5. Student Impact

21. How does SPASD evaluate the effect of financial decisions on students?

Notes: Initiatives taken into account; needed money aligned to what is said to be needed; Board and Superintendent tell them what is needed.

22. Are student outcomes considered when determining whether a program continues receiving funding?
23. How does the district balance efficiency with maintaining programs students value?
24. How can students better understand how financial decisions affect their daily experience?

Notes: Keep asking specific questions; open door policy; student reps with the board.

25. Are there opportunities for students to provide input on major financial priorities?

Notes: Specific feedback through student reps on the Board of Education.

6. Difficult Financial Decisions

26. What are some of the most difficult financial decisions recently?

Notes: State government, federal government, property taxes. About $2 million from federal grants. Title grants allocate money for the neediest schools — $160,000 less than last year. Cuts usually come from grants; Title funding is primarily used for Title staff. Don't want to cut from Title schools.

27. When reductions are necessary, how does the district decide where?

Notes: 80% is staff, determined by students. Class size guidelines; reductions informed by class-size ratio; non-renewing staff if not needed.

28. How does the district prevent short-term decisions from creating long-term problems?
29. Programs the district would like to invest in but can't?

Notes: Big-picture ideas and superintendent goals: half-day vs. full-day 4K talks; PPA funding; Board priorities.

30. What financial decision does the public most commonly misunderstand?

Notes: Majority misconception is that state aid = more revenue. In fact revenue limit minus state aid = tax levy, so more state aid means property tax relief — less taxes for people.

7. Transparency & Community Understanding

31. What financial information should community members pay more attention to?

Notes: Key formulas (5 key formulas); Board meeting Monday; annual meeting open to the public in early October, at SPWHS this year; district goals; up-to-date budget.

32. How can the district make financial information easier to understand?
33. How transparent should the district be about long-term projections and challenges?

Notes: Almost fully. Board is public: current, future, what we can do, challenges, decisions. Transparency is key.

34. What public information would you recommend reviewing?
35. Common misconceptions you frequently encounter?

8. Looking Forward

36. If you could change one thing about how districts are funded?

Notes: Tie state aid (the amount per student) to inflation.

37. What financial issue will have the greatest impact over the next five years?

Notes: Revenue per pupil not tied to inflation; not enough state funding; declining enrollment, projected to go down.

38. What should students and community members pay attention to?

Notes: Advocate at the state level — alderperson, Congress person; tell stories about schools; state budget decisions; the state funds private schools differently.

39. What is a financially healthy school district?

Notes: Fund balance metric — like a savings account, as a percentage of the budget. Healthy fund balance is more than 15–20%; SPASD is at 21%. Long term it won't decrease. Annual audit; money left over.

40. What would financial success look like five years from now?

Notes: Balanced budget! Find ways to be responsible, transparent, and effective; tied to student outcomes.

9. Questions to Dig Deeper

"Could you explain what that looks like in practice?" / "What does that mean for students specifically?" / "How does the district measure whether that investment was successful?" / "Has that changed compared with previous years?" / "What would happen if that assumption changed?" / "Who ultimately makes that decision?" / "Is that something the public can see?" / "What is the biggest factor people tend to overlook?" / "If you were in my position trying to understand the district's finances, what would you look at first?"

10. Closing

Ask what financial documents, reports, or resources Mr. Clark recommends reviewing, and whether other district officials could help. Thank him.

Main goal: The goal of the meeting is not simply to learn how much money SPASD has. It is to understand how the district turns limited resources into educational priorities, how it prepares for future financial pressures, and how students and the community can better understand and participate in those decisions.

Explainer: How the SPASD Budget Works

One-page explainer published on the SPASD Student Voice website, from the August 18, 2026 meeting with the Director of Business & Finance.

The short version: the district's money mostly pays for people, the amount it gets depends on how many students enroll, and Wisconsin's per-student funding hasn't kept up with inflation.

- Biggest cost: about 80% of spending is staff. The rest covers busing, supplies, and utilities.
- Revenue: driven by enrollment through state formulas. Revenue must equal expenses.
- Budget calendar: built over 8–9 months, starting in February, adopted in October.
- Long-term plan: a 5-year forecast is updated every February.
- 2024 referendum: $25 million passed; about $7 million went to staff pay after a wage study.
- Savings: fund balance is about 21%. Around 15–20% is considered healthy.
- Federal Title grants: about $160,000 less than last year. These fund the highest-need schools.
- Special education: the state covers roughly 30% of actual cost; general funds cover the rest.

The most common misunderstanding: many people assume more state aid means more money for schools. Under Wisconsin's revenue limit, the district can only collect a set amount. More state aid mostly lowers the local property tax levy instead of raising the total.

Biggest risks ahead:

- Per-student funding not tied to inflation
- Enrollment projected to decline, partly due to housing costs
- Possible operating deficit down the road as costs rise

How to follow along:

- Watch Board of Education meetings and the annual public budget meeting each fall
- Talk to the student representatives on the Board
- Tell state lawmakers how school funding affects your school